Emcure Pharmaceuticals Ltd

Concall Tracker · Q2 2027 · continues from the Q1-2027 report

1. Snapshot

Pune-based drug maker selling branded medicines in India (about 41% of sales) and generics and complex injectables in Europe, Canada and emerging markets (about 59%). Its biotech arm Gennova makes biologics. It earns from doctor-prescribed brands at home and a steady stream of product approvals abroad.

Number	Value	What it means
Market cap	Rs 42,353 cr	What the market values the whole company at (Screener); up from Rs 35,157 cr at the last report.
Q2 FY27 revenue	Rs 2,820 cr	Up 24.3% on last year and 9.3% on the June quarter; another record.
Q2 FY27 EBITDA	Rs 575 cr, margin 20.4%	Operating profit up 31%; margin up about 100 basis points on last year.
Q2 FY27 profit	Rs 325 cr	Up 29%; slightly slower than EBITDA because of lower forex gains and higher interest.
Net debt	Rs 1,317 cr	Up Rs 263 cr since March after Rs 551 cr of acquisition payouts; target is net cash by end of FY28.
Stock P/E	44.2x	Pricey; the market is paying for continued growth (Screener).

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY25 to Q4 FY26 (8 calls)	Aug 2024 to May 2026	Carried forward from the Q1-2027 report
Q1 FY27	6 Aug 2026	Prior report's boundary call
Q2 FY27	3 Nov 2026	Newly deep-read in full ★

Only the new Q2 FY27 call was read in full this quarter; the backstory comes from the Q1-2027 report, which covered all nine calls since the July 2024 listing.

Latest concall highlights: Q2 FY27 (3 Nov 2026)

- Guidance raised: FY27 revenue growth now expected above 20%, up from mid-teens; EBITDA margin gain at the upper end of the 75-100 basis point range.
- India grew 12% to Rs 1,155 cr, the second double-digit quarter in a row; organic growth 10% vs 6% in Q1. Zuventus improved again; management expects low-teens growth for the full year and to exit FY27 at or above industry growth.
- International grew 34.5% to Rs 1,665 cr: Europe +36% (liposomal amphotericin B scaling up), Canada +24%, Rest of World +41%. About 10 points of the international growth was currency; overall constant-currency growth about 18.5%.
- Over 20 approvals in the quarter, including amphotericin B in Brazil and Mexico. Lenacapavir (HIV prevention injection) filed with WHO and US FDA. Treprostinil named as the next Europe product.
- Board approved merging Zuventus and Emcutix into Emcure, subject to NCLT. Tone: confident but careful, the MD refused to guess at FY28 given oil and war risks.

Business mix & capacity

Domestic vs export: Q2 FY27: India Rs 1,155 cr (about 41%), international Rs 1,665 cr (59%). Within international: Rest of World Rs 630 cr, Europe Rs 604 cr, Canada Rs 431 cr. Anti-retrovirals were about half of Rest of World sales.

Capacity use: Not disclosed as a percentage. Amphotericin B is made at two sites, which management says can meet demand for the next 18-24 months. Medical rep count steady at about 4,100-4,200, with no plan to add.

Since our last report

Builds on the Q1-2027 report (call of 6 Aug 2026). Prior verdicts: trigger YES, consistency YES. That report had no checkpoint box, so its live promises are scored below.

Prior read	What we said then	What the new call shows	Movement
Trigger (YES)	Two engines firing: international plus India recovery, with margins rising	Both engines faster again; guidance raised to above 20%	Confirmed
Consistency (YES)	Guidance met or beaten; currency effect disclosed unprompted	Raised guidance; disclosed about 10 points of currency in international growth	Confirmed
India recovery	Back to 10.2% after Zuventus restructuring; low double digits expected	12%, organic 10%; full year seen at low teens	Improving
International mid-teens	Guided mid-teens; Europe sustainable rate mid-teens	24% in constant currency; Europe +36% reported	Improving
Margin expansion	Margins to keep improving with operating leverage	20.4%, up about 100 bps; guide at top of range	On-track
Deleveraging	Interest cost halved since FY24	Net debt up Rs 263 cr on acquisition payouts; interest Rs 36 cr	Slipping

Checkpoint results (promise rows): Delivered | Delivered | Delivered | Partly. Both verdicts unchanged at YES. The raised guidance strengthens the trigger; the only step back is debt going up to pay for the Canada, Gennova and UK portfolio deals.

3. Earning Trigger thesis

The trigger is still the two-engine model. Abroad, a steady flow of approvals (over 20 this quarter) and complex injectables like liposomal amphotericin B are lifting Europe, Canada and emerging markets, with lenacapavir and treprostinil next. At home, the Zuventus team has steadied and India is back to double digits. On top, sales and admin costs grow slower than revenue, so margins keep inching up. Currency flatters the international number, and debt rose to pay for past deals.

Trigger	What management said	Evidence so far	Time horizon	Strength
International approvals and launches	Over 20 approvals; amphotericin B in about half of Europe, about 20 countries still to enter	International +34.5% (about 24% in constant currency)	FY27-FY28	Strong; ↑ improving
India recovery	Exit FY27 at or above industry growth; low teens for the year	+12%, organic 10%	FY27	Moderate to strong; ↑ improving
Operating leverage	SG&A to grow slower than revenue; margin at top of 75-100 bps guide	EBITDA margin 20.4%, up about 100 bps	Ongoing	Strong; unchanged
Lenacapavir (ARV)	Filed with WHO and US FDA; India expert committee recommended it	Not yet in revenue	Next few quarters	Unproven; new
Net cash by FY28	Committed to net cash by end of FY28	Net debt up to Rs 1,317 cr	FY28	Moderate; ↓ weakening

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Net debt rose by Rs 263 cr to Rs 1,317 cr on acquisition payouts; aim is net cash by end of FY28 (3 Nov 2026).
New business	Yes	Lenacapavir filed with WHO and US FDA; consumer health brands like Bitter Drops and Galact building scale (3 Nov 2026).

Trigger type	Yes/ No	What was said (date)
Margin up	Yes	EBITDA margin up about 100 bps to 20.4% from productivity and operating leverage; full-year gain at the top of 75-100 bps (3 Nov 2026).
New management	No	No change.
New capacity	No	No new plant; second amphotericin B site already approved for the UK.
Big orders	Yes	Strong order book in the anti-retroviral business for H2 (3 Nov 2026).
Turnaround	No	Zuventus recovery is a business fix, not a loss-to-profit turnaround.
Promoter buying	No	Not mentioned.

The single concrete driver: A steady flow of overseas approvals, led by complex injectables like liposomal amphotericin B, plus India growing in double digits again as the Zuventus team settles.

3c. Margin bridge

EBITDA margin rose about 100 basis points to 20.4% because costs grew slower than sales and the product mix improved gross margin by about 110 basis points on the June quarter. Costlier imported raw materials and freight wiped out most of the currency gain. Management expects the full-year gain at the top of its range (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY25	FY26 revenue growth 13-14%	16.6%	Delivered
Q4 FY25	FY26 margin up 150 bps	About 150 bps	Delivered
Q4 FY25	India 200 bps above industry	About 5% in Q4 FY26, then 10% and 12%	Partly
Q4 FY26	FY27 revenue growth mid-teens; margin up 75-100 bps	H1 up 23.6%, margin up about 80 bps; guide raised to above 20%	Delivered (over)
Q1 FY27	India recovery to continue	12% in Q2, organic 10%	Delivered
Ongoing	Net cash by end of FY28	Net debt rose this half on deal payouts	Too-early

Narrative drift: Still none. The same five-year plan, the same India-plus-international story and the same habit of flagging currency. This quarter they raised guidance rather than reset it, while the MD declined to give an FY28 view because of geopolitical risk.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged. Both engines sped up and guidance was raised, with more approvals and a new lenacapavir filing behind it. Currency is about ten points of the international growth, so the real pace is lower than the headline.

Management consistent? → YES

vs last quarter: unchanged. They beat their own guidance again, explained Zuventus honestly and keep showing the currency effect. Debt rising on deal payouts is the one thing to watch against their net-cash-by-FY28 promise.

6. Checkpoints for next quarter

- Full-year revenue growth stays on track for above twenty percent
- India keeps growing in double digits, Zuventus included

- Amphotericin B launches in the newly approved Rest of World markets

This is not investment advice. Do your own due diligence.